



Report and Recommendation of the President to the Board of Directors

PUBLIC

Project Number: 53206-001
October 2022

Proposed Loan and Administration of Grant BIM Wind Power Joint Stock Company AC Energy Wind Power Project (Viet Nam)

This is a redacted version of the document approved by ADB's Board of Directors, which excludes information that is subject to exceptions to disclosure set forth in ADB's Access to Information Policy.

Asian Development Bank

CURRENCY EQUIVALENTS

(as of 22 August 2022)

Currency unit	–	dong (D)
D1.00	=	\$0.000043
\$1.00	=	D23,393

ABBREVIATIONS

ACEN	–	ACEN Corporation
ACEV	-	ACEN Vietnam Investments Pte. Ltd.
ADB	–	Asian Development Bank
BIM Group	–	BIM Group Limited Company
BIM Wind	–	BIM Wind Power Joint Stock Company
BIMEH	–	BIM Energy Holding Corporation
CIDF	–	Climate Innovation and Development Fund
COD	–	commercial operations date
COVID-19	–	coronavirus disease
E&S	–	environmental and social
ESCA	–	environmental and social compliance audit
EVN	–	Vietnam Electricity
FIT	–	feed-in tariff
GE	–	General Electric International Inc.
MLA	–	mandated lead arranger
O&M	–	operation and maintenance
PDP	–	Power Development Master Plan
PPA	–	power purchase agreement
US	–	United States
WTG	–	wind turbine generator

WEIGHTS AND MEASURES

GW	–	gigawatt
kV	–	kilovolt
kWh	–	kilowatt-hour
MW	–	megawatt
tCO ₂ e	–	ton of carbon dioxide equivalent

NOTE

In this report, “\$” refers to United States dollars.

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^a Outposted to the Viet Nam Resident Mission.

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PROJECT AT A GLANCE

1. Basic Data		Project Number: 53206-001	
Project Name	AC Energy Wind Power Project	Department/Division	PSOD/PSIF2
Country	Viet Nam, Socialist Republic of		
Borrower	BIM Wind Power Joint Stock Company		
Portfolio at a Glance	https://www.adb.org/Documents/LinkedDocs/?id=53206-001-PortAtaGlance		
2. Sector	Subsector(s)	ADB Financing (\$ million)	
✓ Energy	Renewable energy generation - wind		35.000
		Total	35.000
3. Operational Priorities		Climate Change Information	
✓ OP1: Addressing remaining poverty and reducing inequalities		GHG reductions (tons per annum)	118,458
✓ OP2: Accelerating progress in gender equality		Climate Change impact on the Project	High
✓ OP3: Tackling climate change, building climate and disaster resilience, and enhancing environmental sustainability		ADB Financing	
✓ OP4: Making cities more livable		Adaptation (\$ million)	0.000
		Mitigation (\$ million)	35.000
		Cofinancing	
		Adaptation (\$ million)	0.000
		Mitigation (\$ million)	0.000
Sustainable Development Goals		Gender Equity and Mainstreaming	
SDG 1.1, 1.5		Effective gender mainstreaming (EGM) ✓	
SDG 5.1, 5.2, 5.5			
SDG 7.1, 7.2		Poverty Targeting	
SDG 9.4		General Intervention on Poverty ✓	
SDG 10.1, 10.2			
SDG 13.a			
4. Nonsovereign Operation Risk Rating			
Obligor Name		Final Project Rating	Facility Risk Rating
BIM Wind Power Joint Stock Company			
5. Safeguard Categorization Environment: B Involuntary Resettlement: C Indigenous Peoples: C			
6. Financing			
Modality and Sources		Amount (\$ million)	
ADB		35.000	
Nonsovereign SOFR Based Loan (Regular Loan): Ordinary capital resources		35.000	
Cofinancing		71.400	
Commercial Lenders (Full ADB Administration)		56.400	
-Debt - Japan International Cooperation Agency (Not ADB Administered)		15.000	

[CONFIDENTIAL INFORMATION DELETED]

[CONFIDENTIAL INFORMATION DELETED]

I. THE PROPOSAL

1. I submit for your approval the following report and recommendation on a proposed loan of up to \$91,400,000, comprising (i) an A loan of up to \$35,000,000 and (ii) a B loan of up to \$56,400,000, to BIM Wind Power Joint Stock Company (BIM Wind) for the AC Energy Wind Power Project in Viet Nam. The report also describes the proposed administration of a \$5,000,000 grant to be provided by the Climate Innovation and Development Fund (CIDF)¹ to BIM Wind, and if the Board approves the proposed loan, I, acting under the authority delegated to me by the Board, approve the administration of the grant.

2. The loan will support the construction and operation of an 88-megawatt (MW) wind farm in Ninh Thuan province, Viet Nam. The Asian Development Bank (ADB), in its capacity as the mandated lead arranger (MLA), has mobilized commercial banks to provide long-term, United States (US) dollar, limited-recourse project financing unavailable in the local market. The project will generate an average of 240.28 gigawatt-hours of clean electricity per year. It will reduce greenhouse gas emissions by about 118,458 tons of carbon dioxide equivalent (tCO₂e) per year.

II. THE PROJECT

A. Project Identification and Description

3. **Project identification.** Electricity demand in Viet Nam has grown at a compound annual rate of 13% since 2000 and is projected to reach 130.4 gigawatts (GW) by 2030 and 262.0 GW by 2045.² A significant expansion in generation capacity will be required to meet this demand, including alternatives to carbon-intensive power projects to avoid significant increases in greenhouse gas emissions. To help address this, the draft Revised National Power Development Master Plan (PDP) for the 2021–2030 Period with the Vision to 2045 (Revised PDP 8) seeks to increase the share of wind generation capacity to 12.2 GW by 2025 and 68.7 GW by 2045.^{3,4} The Revised PDP 8 is being finalized and is expected to be released before the end of 2022.

4. In 2011, Viet Nam introduced a feed-in tariff (FIT) of \$0.078 per kilowatt-hour (kWh) and a standard power purchase agreement (PPA) template for utility-scale wind power projects,⁵ but only three wind power projects with a total capacity of 153.2 MW had reached commercial operations date (COD) as of 2018.⁶ The limited success was due to two key factors: (i) the FIT was not deemed sufficient by project developers and financiers, and (ii) the standard PPA was not considered bankable for international lenders on a nonrecourse project finance basis. To spur greater interest, Viet Nam increased the FIT to \$0.085/kWh in 2018 and revised the standard wind PPA template in early 2019 to improve its bankability. In response to these positive developments, ACEN Vietnam Investments Pte. Ltd. (ACEV) and BIM Energy Holding Corporation (BIMEH), mandated ADB as lead arranger to raise up to \$106.4 million to finance a wind farm in Viet Nam.

5. **Gender context.** Viet Nam has made considerable progress in addressing gender disparities. However, economic opportunities for women remain constrained because of a

¹ Financing partners: the Bloomberg Family Foundation Inc. and the Goldman Sachs Charitable Gift Fund.

² World Bank. 2018. *Vietnam: Maximizing Finance for Development in the Energy Sector*. Washington, DC.

³ The currently approved Revised National Power Development Master Plan for the 2011–2020 Period with the Vision to 2030 (Revised PDP 7) aims to increase the share of power produced from renewable energy sources in Viet Nam to more than 10.0% by 2030 and to increase the wind power capacity to 6,000 MW (2.1% of the total) by 2030.

⁴ Watson Farley & Williams. 2021. *Vietnam's Draft Master Plan VIII and the Energy Transition*. Ha Noi. (14 October).

⁵ Government of Viet Nam. 2011. *Decision 37/2011/QĐ-TTg*. Ha Noi.

⁶ Government of Viet Nam, Ministry of Industry and Trade. 2020. *Report to the Prime Minister, 2491/BCT-DL*. Ha Noi.

persistent gender pay gap, significant segregation of men and women in terms of occupation and industry of employment, an unequal burden of unpaid care work, and general resistance to women taking up leadership positions.⁷ In the renewable energy industry, only a small proportion of women are in management, technical, and field-based roles, with the highest concentrations of women in administration, finance, and human resources.⁸ This project incorporates gender measures that seek to support the closing of these gender gaps.

6. **Project design.** The project involves the construction and operation of an 88 MW wind farm. The sponsors signed an engineering, procurement, and construction contract with General Electric International Inc. (GE) to supply and construct 22 wind turbine generators (WTGs). GE began construction in June 2020 and the wind farm achieved COD on 30 September 2021. [CONFIDENTIAL INFORMATION DELETED]

7. **Borrower.** [CONFIDENTIAL INFORMATION DELETED]

8. **Sponsors.** ACEN Vietnam Investments Pte. Ltd. (ACEV) is a subsidiary of ACEN Corporation (ACEN) through ACEN Renewables International Pte. Ltd. ACEN is a 62.48%-owned subsidiary of Ayala Corporation, one of the oldest, largest, and most diversified conglomerates in the Philippines. As of March 2022, ACEN had more than 3,800 MW of attributable capacity in operation and under construction in the Philippines, Australia, India, Indonesia, and Viet Nam, with a renewable share of 87%, among the highest in the region. ACEN aims to be a regional leader with goals of reaching 5,000 MW of attributable renewable capacity by 2025 and achieving net zero greenhouse gas emissions by 2050. In January 2019, ADB made a \$20 million anchor investment in ACEN's \$410 million Climate Bond issuance—the first climate bonds in Southeast Asia to be listed on an exchange. BIMEH is wholly owned by BIM Group through various subsidiaries. BIM Group Joint Stock Company (BIM Group) is a private conglomerate established in Viet Nam with interests in real estate, hospitality, agriculture, aquaculture, renewable energy, and consumer services. BIM Group aims to be a local leader in renewable energy by developing at least 1,000 MW of clean energy capacity by 2025.

9. **Integrity due diligence.** [CONFIDENTIAL INFORMATION DELETED]

10. **Tax integrity due diligence.** [CONFIDENTIAL INFORMATION DELETED]

11. **COVID-19 impacts.** The coronavirus disease (COVID-19) pandemic has not had a material impact on the cost or completion timeline of the project. However, because of the local restrictions in Viet Nam, lenders' advisors were initially unable to complete due diligence site visits and financing has been delayed past the COD.

B. Development Impacts, Outcome, and Outputs

12. **Impacts.** The project is aligned with the following impacts: (i) the share of power produced from renewable energy sources in the generation mix in Viet Nam increased to more than 10.0% by 2030 and the wind power capacity increased to 6,000 MW (2.1% of the total) by 2030 under the approved Revised PDP 7; and (ii) the share of wind generation capacity increased to 12,208 MW by 2025 and 68,702 MW by 2045 under the draft Revised PDP 8 (para. 3).

⁷ UN Women. 2021. Country Gender Equality Profile Viet Nam 2021. Ha Noi.

⁸ United States Agency International Development. 2017. Clean Power Asia. [Gender Equality in Renewable Energy in the Lower Mekong: Assessment and Opportunities](#). Bangkok.

13. **Outcome.** The project will have the following outcome: renewable power delivered to the domestic grid increased.⁹ It will generate an average of 240.28 gigawatt-hours of electricity from wind energy and avoid an average of 118,458 tons of carbon dioxide emissions annually.

14. **Outputs.** The project will have the following outputs: (i) a wind power plant of 88 MW total capacity installed, (ii) gender-inclusive local employment generated, (iii) growth of the local economy supported in a gender-inclusive manner, and (iv) gender inclusiveness of work environment enhanced.

C. Alignment with ADB Strategy and Operations

15. **Consistency with ADB strategy and country strategy.** The project is consistent with ADB's Strategy 2030, which has a target of 75% of ADB operations supporting climate change mitigation and adaptation by 2030.¹⁰ The project supports four of the seven operational priorities: (i) addressing remaining poverty and reducing inequalities; (ii) accelerating progress in gender equality; (iii) tackling climate change, building climate and disaster resilience, and enhancing environmental sustainability; and (iv) making cities more livable. It further contributes to three other objectives of Strategy 2030: (i) expanding private sector operations to reach one-third of ADB operations in number by 2024, (ii) reaching \$100 billion of cumulative climate finance from ADB's own resources by 2030, and (iii) mobilizing financing from commercial sources with a long-term cofinancing target for private sector operations of \$2.50 for every \$1.00 of ADB financing.

16. **Consistency with country partnership strategy.** The project is aligned with two pillars of ADB's country partnership strategy for Viet Nam, 2023–2026: (i) supporting Viet Nam's transition to a green economy, and (ii) harnessing the country's private sector. The project also supports the alignment of the country partnership strategy with Viet Nam's commitments to the United Nations Framework Convention on Climate Change to achieve net zero carbon emissions by 2050.¹¹

17. **Consistency with sector strategy and relevant ADB operations.** The project aligns with ADB's Energy Policy, which (i) aims to bring affordable, reliable, sustainable, and modern energy to all, (ii) provides support to its developing member countries to tackle climate change, and (iii) encourages private sector participation.¹² The project will contribute to the targets for wind generation capacity in Viet Nam's Revised PDP 7 and draft Revised PDP 8 (para. 3).

18. **Lessons from previous operations.** The project follows ADB's prior approvals of (i) the first floating solar project in Viet Nam (the Floating Solar Energy Project [2018]), (ii) two ground-mounted solar projects (the Gulf Solar Power Project [2019] and the B.Grimm Viet Nam Solar Power Project [Phu Yen Project] [2020]), and (iii) ADB's first wind project in Viet Nam (Lotus Wind Power Project [2021]).¹³ The project further builds on results and lessons from the cooperation

⁹ The design and monitoring framework is in Appendix 1.

¹⁰ ADB. 2018. *Strategy 2030: Achieving a Prosperous, Inclusive, Resilient, and Sustainable Asia and the Pacific*. Manila.

¹¹ ADB. 2022. *Country Partnership Strategy: Viet Nam, 2023–2026—Fostering Inclusive, Green, and Private-Sector Led Growth*. Manila.

¹² ADB. 2021. *Energy Policy: Supporting Low-Carbon Transition in Asia and the Pacific*. Manila.

¹³ ADB. 2018. *Report and Recommendation of the President to the Board of Directors: Proposed Loan and Administration of Loans to Da Nhim - Ham Thuan - Da Mi Hydro Power Joint Stock Company for the Floating Solar Energy Project in Viet Nam*. Manila; ADB. 2019. *Report and Recommendation of the President to the Board of Directors: Proposed Loan and Administration of Loan to TTC Energy Development Investment Joint Stock Company for the Gulf Solar Power Project in Viet Nam*. Manila; ADB. 2020. *Report and Recommendation of the President to*

between ADB's Southeast Asia Department and the government for energy sector reform.¹⁴ Based on these previous operations, ADB developed a comprehensive sponsor support package whereby the 88 MW wind project will be supported by the much larger 405 MW solar projects owned by the sponsors upon occurrence of agreed trigger events. [CONFIDENTIAL INFORMATION DELETED].

19. **Climate change financing.** The total ADB A loan and cofinancing of up to \$106,400,000 will be counted as climate change financing (mitigation) because it matches the criteria according to the joint multilateral development bank methodology.¹⁵ The project is Paris Agreement aligned as wind energy is included in the universally aligned list under the Paris Agreement guidance.¹⁶

D. Project Cost and Financing Plan

20. [CONFIDENTIAL INFORMATION DELETED]

E. Implementation Arrangements

21. Table 3 summarizes the implementation arrangements.¹⁷

Table 3: Summary of Implementation Arrangements

Aspects	Arrangements
Regulatory framework	The project is being implemented under Circular No. 02/2019/TT-BCT of the Ministry of Industry and Trade, which (i) regulates the implementation and development of wind power projects, and (ii) creates a standardized PPA for on-grid wind power projects.
Management	ACEN Renewables International Pte. Ltd. (through ACEV), a regional renewable energy developer, and BIMEH, an experienced local energy developer, are jointly managing the project. The companies have collaborated on four separate solar farms in the past, as well as other investments in Viet Nam.
Implementation period	The project has reached its commercial operations date and has begun operations.
Construction arrangements	
Engineering, procurement, and construction	The project was constructed under fixed-price, date-certain, turnkey engineering, procurement, and construction contracts with General Electric International Inc. which supplied and delivered the wind turbines, and GE Vietnam Limited which was responsible for turbine installation. The works included the construction of a 3-kilometer transmission line to connect the project to the Quan The switchyard.
Operations arrangements	
Revenue structure	The project is selling power at a feed-in tariff of \$0.085 per kilowatt-hour under a 20-year power purchase agreement with Vietnam Electricity. The tariff is paid in dong but indexed to the United States dollar.
Operation and maintenance	The borrower has signed a 20-year contract with GE Vietnam Limited for the operation and maintenance of the wind turbines.
Performance monitoring	The borrower will report on key performance indicators, including output and outcome indicators, and submit (i) semiannual unaudited and annual audited financial statements, (ii) semiannual environmental and social monitoring reports, and (iii) annual development effectiveness reports.

the Board of Directors: Proposed Loan and Administration of Loan to Phu Yen TTP Joint Stock Company for the B.Grimm Viet Nam Solar Project (Phu Yen Project) in Viet Nam. Manila; ADB. 2021. *Report and Recommendation of the President to the Board of Directors: Proposed Loans to Lien Lap Wind Power Joint Stock Company, Phong Huy Wind Power Joint Stock Company, and Phong Nguyen Wind Power Joint Stock Company for the Lotus Wind Power Project in Viet Nam.* Manila.

¹⁴ ADB. 2015. *Technical Assistance to the Socialist Republic of Viet Nam for the Power Sector Reform Program.* Manila.

¹⁵ European Bank for Reconstruction and Development. 2020. *2019 Joint Report on Multilateral Development Banks' Climate Finance.* London.

¹⁶ European Investment Bank. 2021. *Joint MDB Assessment Framework for Paris Alignment for Direct Investment Operations: BB1 and BB2 Technical Note.* Luxembourg.

¹⁷ Details of Implementation Arrangements (accessible from the list of linked documents in Appendix 2).

BIMEH = BIM Energy Holding Corporation, PPA = power purchase agreement.
Sources: Asian Development Bank and BIM Wind Power Joint Stock Company.

F. Projected Financial and Economic Performance

22. [CONFIDENTIAL INFORMATION DELETED]

III. THE PROPOSED ADB ASSISTANCE

A. The Assistance

23. ADB's proposed assistance will have three components: (i) an A loan of up to \$35,000,000, (ii) a B loan of up to \$56,400,000 to be funded by commercial banks, and (iii) a grant of up to \$5,000,000 from the CIDF, administered by ADB. The A loan will be provided from ADB's ordinary capital resources. Both loans will have a tenor of 15 years.

B. Value Added by ADB Assistance

24. **Financing beyond what is available in the markets.** Local lenders are unable to provide long-term US dollar financing, which is required to mitigate the currency mismatch risk given the US-dollar-denominated FIT. International lenders are reluctant to offer nonrecourse project finance loans because of concerns around the PPA. ADB adds value by (i) developing a limited recourse financing structure that addresses key PPA risks to attract international lenders, and (ii) mobilizing a debt package that meets the currency and tenor requirements of project developers to promote private sector participation in wind energy development in Viet Nam.

25. **Resource mobilization and catalytic impact.** As the MLA, ADB will catalyze financing from international commercial banks and other development finance institutions, at a cofinancing ratio of \$2.0–\$3.3 for every \$1.0 of ADB assistance.¹⁸ ADB's participation is critical for mobilization, as ADB is one of the few financial institutions with extensive experience in large-scale renewable energy projects in Viet Nam, serving as a trusted reference for the market.

26. **Innovative financing structure to improve bankability.** The \$5,000,000 grant will be funded through the ADB-administered CIDF.¹⁹ [CONFIDENTIAL INFORMATION DELETED].

27. **Enhanced standards and capacity building.** ADB's involvement will ensure that the project is developed, constructed, and operated to international good practice standard, and will strengthen the environmental, social, and gender standards of the borrower and the sponsors.

C. Risks

28. [CONFIDENTIAL INFORMATION DELETED]

29. [CONFIDENTIAL INFORMATION DELETED]

30. [CONFIDENTIAL INFORMATION DELETED]

31. [CONFIDENTIAL INFORMATION DELETED]

¹⁸ The cofinancing ratio is expected to range between \$2.0 and \$3.3 for every \$1.0 of ADB assistance given the indicative range for the ADB A loan of \$25 million–\$35 million.

¹⁹ Financing partners: the Bloomberg Family Foundation Inc. and the Goldman Sachs Charitable Gift Fund.

32. [CONFIDENTIAL INFORMATION DELETED]

33. [CONFIDENTIAL INFORMATION DELETED]

IV. POLICY COMPLIANCE

A. Safeguards and Social Dimensions

34. ADB has categorized the investment in compliance with ADB's Safeguard Policy Statement (2009) as follows: environment category B, involuntary resettlement category C, and indigenous peoples category C.²⁰ The project's climate change risk level is rated as high.²¹

35. ADB has undertaken due diligence and reviewed BIM Wind's potential environmental and social (E&S) impacts and the measures implemented by the project to avoid, minimize, mitigate, and compensate for adverse impacts. The E&S measures and the institutional capacity and commitment of BIM Wind to manage the project's E&S impacts according to ADB's Safeguard Policy Statement (2009) requirements are deemed adequate.

36. **Environment.** The borrower's E&S consultant prepared an initial E&S examination report in 2020 to meet ADB Safeguard Policy Statement requirements before construction started. Because of the delay in the financing, the project moved to the construction and operations phases, which required the preparation of an environmental and social compliance audit (ESCA) to assess the past and present E&S performance of the project against the ADB Safeguard Policy Statement. The key operations phase environmental concerns are (i) blade throw and safety risks, (ii) shadow flicker exposure exceeding the good international industry practice threshold level,²² (iii) soil erosion and water management, and (iv) bird and bat collision. The safety risk assessment and shadow flicker technical note were additionally required to evaluate risks of existing structures and users within the 300-meter safety buffer zone and shadow flicker impact area. The safety risk assessment confirmed that the risk level is low, allowing the 22 nonresidential structures to be retained in the safety buffer zone. The borrower agreed to implement a shutdown plan to ensure that receptors' shadow flicker exposure will be below the good international industry practice threshold. BIM Wind is committed to completing all corrective action plans to address the findings of the ESCA as conditions of disbursement, including (i) enhancing the existing E&S management plans and preparation of subplans;²³ (ii) environmental, health, safety, and social capacity building and training; (iii) installing a shadow flicker detection and shutdown system; and (iv) implementing curtailment for bat protection.

37. **Social.** The establishment of the project did not result in involuntary resettlement and indigenous peoples impacts. The 21.4-hectare project area is situated within salt production land converted for renewable energy use and does not overlap with any traditionally owned land or

²⁰ ADB. [Safeguard Categories](#).

²¹ ADB uses the 'AWARE for Projects' screening tool to help identify and understand the potential climate change risks. The lenders' technical advisor assessed the project against the climate change and sea level rise scenarios of the Intergovernmental Panel on Climate Change's fifth assessment report and confirmed that the design and measures would limit the impact expected over the project's lifetime of 25 years.

²² This refers to the German Standard of 8 hours per year for a real-case scenario and the International Finance Corporation Environmental, Health, and Safety Guidelines for Wind Energy of 30 hours for a worst-case scenario.

²³ E&S management plan enhancements include noise, soil, water, wastewater, and biodiversity management, while subplans being prepared are as follows: a post-construction fatality monitoring plan, occupational health and safety plan, community health and safety plan, emergency response plan, stakeholder engagement plan, labor management plan, and community development plan.

land with customary rights. The land use rights certificates for all the wind power plant components were awarded in 2021. The ESCA confirmed that the most recent land use rights acquisition, for salt production, later occupied by the project, was undertaken in 2018 following Vietnamese laws and regulations and the principle of replacement cost; hence no corrective actions were required for the project. The 2018 land use rights acquisition for salt production affected seven households, none belonging to any ethnic minority group, of which two are households headed by women and considered vulnerable. The project has committed to providing livelihood support to these vulnerable households. The project also leased 9.37 hectares of land from a single owner for temporary use during construction. The land was returned to the owner on completion of construction activities and in accordance with the lease agreement. There were no outstanding grievances related to previous land use rights acquisitions and temporary land use. Further, the initial E&S examination and ESCA identified the presence of livelihood activities within the 300-meter safety zone and the occurrence of shadow flicker impacts on surrounding communities. The low safety risk within the buffer zone and the shutdown plan being implemented by the project avoided physical and economic displacement of existing users. The project commits to conducting periodic monitoring and consultations with existing users and occupants to assess the adequacy of the measures to mitigate health and safety risks.

38. **Effective gender mainstreaming.** Following ADB's Policy on Gender and Development,²⁴ BIM Wind has incorporated measures to promote gender equality and/or women's empowerment in its business activities. Key features of the gender action plan are as follows: (i) a job target for women in operations, with a focus on engineering, technical, and management roles; (ii) gender-inclusive procurement; (iii) implementation of an anti-sexual-harassment policy; and (iv) staff training on the policy. BIM Wind will submit periodic reports on implementation of gender measures to ADB.

39. BIM Wind will comply with national labor laws and, pursuant to ADB's Social Protection Strategy (2001), will take measures to comply with the internationally recognized core labor standards. The client will report regularly to ADB on (i) its compliance and that of its contractors with such laws and (ii) the measures taken. Information disclosure and consultation with affected people will follow ADB requirements.²⁵

B. Anticorruption Policy

40. BIM Wind was advised of ADB's policy of implementing best international practice relating to combating corruption, money laundering, and the financing of terrorism. ADB will ensure that the investment documentation includes appropriate provisions prohibiting corruption, money laundering, and the financing of terrorism, and remedies for ADB in the event of noncompliance.

C. Investment Limitations

41. [CONFIDENTIAL INFORMATION DELETED]

D. Assurances

42. Consistent with the Agreement Establishing the Asian Development Bank (the Charter),²⁶ ADB will proceed with the proposed assistance upon establishing that the Government of Viet

²⁴ ADB. 2003. *Policy on Gender and Development*. Manila (adopted in 1998).

²⁵ Summary Poverty Reduction and Social Strategy; and Safeguards and Social Dimensions Summary.

²⁶ ADB. 1966. *Agreement Establishing the Asian Development Bank*. Manila.

Nam has no objection to the proposed assistance to BIM Wind. ADB will enter into suitable finance documentation, in form and substance satisfactory to ADB, following approval of the proposed assistance by the ADB Board of Directors.

V. RECOMMENDATION

43. I am satisfied that the proposed loan would comply with the Articles of Agreement of the Asian Development Bank (ADB) and recommend that the Board approve the loan of up to \$91,400,000, comprising (i) an A loan of up to \$35,000,000 from ADB's ordinary capital resources and (ii) a B loan of up to \$56,400,000, to BIM Wind Power Joint Stock Company for the AC Energy Wind Power Project in Viet Nam, with such terms and conditions as are substantially in accordance with those set forth in this report, and as may be reported to the Board.

Masatsugu Asakawa
President

7 October 2022

DESIGN AND MONITORING FRAMEWORK

Impacts the Project is Aligned with			
The share of power produced from renewable energy sources in the power generation mix in Viet Nam increased to more than 10.0%, and the wind power capacity increased to 6,000 MW (2.1% of the total) by 2030 (Revised National Power Development Master Plan, 2011–2020 with the Vision to 2030) ^a			
Results Chain	Performance Indicators	Data Sources and Reporting Mechanisms	Risks and Critical Assumptions
Outcome Renewable power delivered to the domestic grid increased	By 2023: a. Electricity delivered to offtaker increased to 240.28 GWh per year (2020 baseline: 0) ^b b. Annual greenhouse gas emissions of 118,458 tCO ₂ e avoided (2020 baseline: 0) ^c (OP 3.1)	a.–b. Annual development effectiveness monitoring reports by the borrower	R: Changes in regulatory environment or power purchasing agreement R: Climate and weather risk
Outputs 1. Wind power plant of 88 MW total capacity installed 2. Gender-inclusive local employment generated 3. Growth of the local economy supported in a gender-inclusive manner 4. Gender inclusiveness of work	By 2023 unless otherwise stated: 1a. Total installed wind electricity generation capacity of the project increased to 88 MW by September 2021 (2020 baseline: 0) (OP 3.1.4, OP 4.1.2) 1b. 220-kilovolt transmission line installed increased by 3 kilometers by September 2021 (2020 baseline: 0) (OP 4.1.2) 2a. Total number of jobs during operations is at least 38, of which 8 are held by women (2020 baseline: 0, number of women: 0) (OP 1.2, OP 2.1) 2b. Women employed in an engineering, technical, or management roles during operations increased to at least three (2020 baseline: 0) (OP 2.1, OP 2.3) 3a. Annual domestic purchase of goods and services amounts to more than \$850,000 during operation (2020 baseline: 0) 3b. At least one of the suppliers of products or services is a woman or woman-owned company ^d (2020 baseline: 0) 4a. One anti-sexual-harassment policy implemented ^e (2020 baseline: 0) (OP 2.2.3)	1.–4. Annual development effectiveness monitoring reports by the borrower	R: Construction delays caused by force majeure events R: Cost overruns

Results Chain	Performance Indicators	Data Sources and Reporting Mechanisms	Risks and Critical Assumptions
environment enhanced	4b. At least 90% of staff trained on the anti-sexual-harassment policy (2020 baseline: 0%) (OP 2.2.3)		
Key Activities with Milestones 1. Wind power plant installed and its associated facilities installed 1.1 Complete construction of wind power plant by September 2021. 1.2 Commission wind power plant by September 2021. 2. Gender-inclusive local employment generated 2.1 Staff recruited and onboarded in a gender sensitive manner by Q4 2023. 3. Growth of the local economy supported in a gender-inclusive manner 3.1 Commence procurement of operational products or services in a gender-sensitive manner by Q4 2023. 4. Gender inclusiveness of work environment enhanced 4.1 Draft an anti-sexual-harassment policy by Q4 2023. 4.2 Develop training program for the anti-sexual-harassment policy by Q4 2023.			
Inputs Loans: Asian Development Bank Ordinary Capital Resources (A Loan) \$35.0 million ^f Japan International Cooperation Agency \$15.0 million ^f Other cofinancing (B Loan and/or parallel loan) \$56.4 million ^f Total Loans \$106.4 million [CONFIDENTIAL INFORMATION DELETED] Grant: Climate Innovation and Development Fund ^g \$5.0 million Total Grant \$5.0 million			
Assumptions for Partner Financing Not applicable			

GWh = gigawatt-hour, MW = megawatt, OP = operational priority, Q = quarter, R= risk, tCO₂e = ton of carbon dioxide equivalent.

^a Government of Viet Nam. 2016. *The Revised National Power Development Master Plan for the 2011–2020 Period with the Vision to 2030*. Ha Noi.

^b The project achieved commercial operations in September 2021.

^c 240.28 GWh x 493 tCO₂e/GWh (grid emission factor for Viet Nam) = 118,458 tCO₂e equivalent.

^d Woman-owned means (a) ≥ 50% owned by woman/women; or (b) ≥ 20% owned by woman/women and (i) has ≥ 1 woman as CEO/COO/President/Vice President and (ii) has ≥ 30% of the board of directors composed of women, where a board exists.

^e The policy will include guidance on preventative measures, reporting mechanisms, investigative procedures, and appropriate repercussions.

^f Cofinancing through the B loan or direct participation from other banks in the project are currently under discussion with the Asian Development Bank. The figures are indicative amounts only, assuming the maximum A Loan and B Loan amounts, while the balance after deducting the maximum A Loan and B Loan amounts is assumed for Japan International Cooperation Agency (JICA). However, JICA is seeking approval for up to \$25 million (or up to 23.5% of the total debt). The final allocations will be determined before financial close. Please refer to Table 2: Financing Plan.

^g An additional \$5 million will be provided from the Asian Development Bank-administered Climate Innovation and Development Fund as a liquidity reserve, available to be drawn to cover lost revenue due to environmental and social safeguards related project curtailment should the debt service coverage ratio fall below a pre-agreed threshold. This

grant is not part of the total project cost; therefore, it is not included in the financing plan table. Financing partners are the Bloomberg Family Foundation Inc. and the Goldman Sachs Charitable Gift Fund.
Source: Asian Development Bank.

LIST OF LINKED DOCUMENTS

<http://www.adb.org/Documents/RRPs/?id=53206-001-4>

1. Sector Overview
2. Contribution to Strategy 2030 Operational Priorities
3. Country Economic Indicators
4. Summary Poverty Reduction and Social Strategy
5. Safeguards and Social Dimensions Summary
6. Gender Action Plan

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